EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Langgangan, now Santa Praxedes, Cagayan, was formally established when it became a township of Cagayan Valley by virtue of Executive Order No. 65 of Governor Leonard Wood on November 11, 1922. It was renamed Santa Praxedes in 1977 by virtue of Republic Act No. 1449. It consists of ten (10) barangays, with a total land area of 110 sq. km. It is classified as a fifth-class municipality.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Santa Praxedes for CY 2025 and was aimed at determining whether Management presented fairly the Financial Statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules and regulations have been complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Santa Praxedes, Cagayan for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Particulars	2025	2024	Increase/ (Decrease)
Financial Position			
Assets	337,736,797.08	308,607,112.89	29,129,684.19
Liabilities	49,942,117.97	52,697,882.31	(2,755,764.34)
Government Equity	287,794,679.11	255,909,230.58	31,885,448.53
Financial Performance			
Income	132,030,057.33	101,039,917.25	30,990,140.08
Expense	99,529,650.68	100,289,766.82	(760,116.14)
Net Income	32,500,406.65	750,150.43	31,750,256.22

D. Operational Highlights

The major accomplishments of the Municipality for CY 2025, in terms of implementation of Programs, Projects and Activities (PPAs), are as follows:

Name of Program/ Project/ Activity	Amount
Concreting of Brgy. San Juan – Farm to Market Road	₱ 14,735,458.28
Project ETANG (Edukasyong Tulong at Alalay para sa mga Mag-aaral)	2,782,218.00
Implementation of SAAD Program	2,128,091.46
Improvement/Construction of Barangay Infrastructures	3,359,197.72
Improvement/Construction of Barangay Buildings and Other Structures	1,293,815.83
Housing and Community Building Program	1,170,427.50
Total	**₱ 25,469,208.79**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the Financial Statements of the Municipality of Santa Praxedes, Cagayan for the year-ended December 31, 2025 due to non-conduct of a complete inventory count, reconciliation and one-time cleansing of the Property, Plant and Equipment (PPE) account, thus, the existence, accuracy and reliability of the account amounting to ₱229,861,843.97 cannot be relied upon.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Loans Receivables - Others account, amounting to ₱1.971 million cannot be relied upon due to: (a) existence of dormant accounts; (b) negative balances; and (c) wrong classification of accounts, thereby, affecting the fair presentation of the Financial Statements.

   We recommended that the Management:

   a. Conduct regular and periodic verification, analysis, and validation of the existence of the receivables, unliquidated cash advances, and fund transfers and to enforce collections of properly identified and corrected claims;

   b. Establish clear guidelines and documentation procedures in the implementation of future programs to properly distinguish between financial assistance (grants/subsidies) and loan agreements to prevent recurrence of similar issues;

c. Comply with the additional pertinent documents to the request for write-off of accounts, in accordance with COA Circular No. 2023-008 dated August 17, 2023;

d. Determine whether these negative balances resulted from overcollections, recording errors, or absence of established claims; and

e. Reclassify subject receivables to their correct account classification.

2. Twenty-eight (28) out of the fifty-seven (57) priority development projects under the 20% Development Fund totaling to ₱8.246 million were not yet started and implemented by the Municipality as at December 31, 2025, thus, depriving its constituents of the expected socio-economic benefits that could have been derived therefrom.

   We recommended that the Management:

   a. Fast track the completion of all on-going and unimplemented projects funded under the 20% Development Fund;

   b. Monitor regularly the implementation of the 20% Development Plan, including continuing appropriations; and

   c. A thorough coordination between departments for the planning and implementation of these projects, in order for the Municipality to fully achieve the desired socio-economic targets and outcomes.

3. Biological assets under the Municipality's livestock dispersal program amounting to ₱0.279 million were recognized as Agricultural Produce for Distribution, contrary to the provisions of IPSAS 27, thereby, affecting the accuracy and reliability of the related accounts and the monitoring of the dispersal program.

   We recommended that the Management:

   a. Direct the OIC-Municipal Agricultural Office and Municipal Accountant to reconcile the records and reclassify the Agricultural Produce for Distribution to Breeding Stock account under Biological Asset;

   b. Derecognize livestock upon fulfillment of the dispersal conditions by the beneficiaries and recognize the corresponding expense;

   c. Recognize the turnover of newborn livestock as a Biological Assets and the corresponding income;

   d. Maintain updated subsidiary ledger and records of livestock dispersal to ensure proper monitoring and timely recording of transactions; and

e. Strengthen coordination between the Municipal Agriculture Office and the Accounting Office to ensure that all livestock dispersals are promptly recorded in the books.

G. Summary of Total Suspensions, Disallowances, and Charges as of December 31, 2025

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	-
Disallowances					
Prior Years	**-**	**-**	**-**	-	-
Current Year	**-**	**-**	**-**	-	-
Total	**-**	**-**	**-**	**-**	**-**
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	-	-

H. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the eleven (11) audit recommendations in the CY 2024 Annual Audit Report, nine (9) were implemented and two (2), were not implemented.